

Gerak Logistik Bhd

Registration No. 200301018742 (614295-H)
(Incorporated in Malaysia)

SUKUK MURABAHAH (TAWARRUQ)

RM15,000,000 in nominal value

Rated A2 (stable) by RAM Rating Services Berhad — the highest rating on the Platform

Shariah compliant — Murabahah via Tawarruq

Main Market issuer — RM15.0 million issue, the largest on the Platform

70% taken by a professional credit fund as Anchor Investor

Retail tranche RM4.5 million — fractional from RM100

Instrument	Sukuk Murabahah (Tawarruq)
Programme size	RM80,000,000 in nominal value
Nominal value of this issue	RM15,000,000
Anchor Investor allocation	RM10,500,000 (70.0%)
Retail tranche	RM4,500,000 (30.0%)
Minimum investment	RM100 (fractional)
Maximum single-issuer holding	RM30,000 per investor
Tenure	5 years from the issue date
Profit rate	5.90 per cent. per annum, fixed
Profit payment frequency	Semi-annually in arrears
Credit rating	A2 / stable outlook
Issue date	25 June 2026
Maturity date	25 June 2031
Exit before maturity	Anchor Investor standing bid only — see Section 9.5

THIS OFFERING IS MADE TO RETAIL INVESTORS THROUGH THE TOKENKAN PLATFORM IN FRACTIONAL DENOMINATIONS FROM RM100. IT IS NOT A DEPOSIT. IT IS NOT PROTECTED BY PERBADANAN INSURANS DEPOSIT MALAYSIA. THE CAPITAL INVESTED IS AT RISK AND MAY NOT BE RETURNED IN FULL. RETURNS ARE NOT GUARANTEED AND DEPEND ON THE ISSUER CONTINUING TO MEET ITS OBLIGATIONS. THE ISSUER IS A SMALL COMPANY AND THIS IS A SMALL ISSUE; INVESTORS SHOULD EXPECT GREATER CREDIT RISK AND LESS LIQUIDITY THAN ON A LARGE INSTITUTIONAL ISSUANCE. EXIT BEFORE MATURITY IS AVAILABLE ONLY THROUGH THE ANCHOR INVESTOR STANDING BID DESCRIBED IN SECTION 9.5, WHICH IS SUBJECT TO LIMITS AND MAY BE SUSPENDED. THE TOKENKAN PLATFORM IS NOT AN EXCHANGE. NOTHING IN THIS DOCUMENT IS INVESTMENT ADVICE OR A RECOMMENDATION. PROSPECTIVE INVESTORS SHOULD READ THIS DOCUMENT IN FULL, AND IN PARTICULAR THE RISK FACTORS IN SECTION 7, AND SHOULD INVEST ONLY WHAT THEY CAN AFFORD TO LOSE. THIS IS THE HIGHEST RATED AND LARGEST ISSUE ON THE PLATFORM AND CARRIES THE LOWEST PROFIT RATE. IT REMAINS A SMALL COMPANY ISSUE WITH NO SECURITY AND NO EXIT RIGHT. INVESTORS SHOULD READ SECTION 7 IN FULL.

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1. EXECUTIVE SUMMARY

1.1 Overview of the Issuer

Gerak Logistik Bhd provides temperature-controlled logistics in Malaysia. It operates two cold store facilities, at Klang in Selangor and Senai in Johor, with combined capacity of 28,400 pallet positions, and a fleet of 168 refrigerated vehicles. It serves food manufacturers, supermarket groups and pharmaceutical distributors, and holds Good Distribution Practice accreditation for pharmaceutical distribution and JAKIM halal certification at both facilities.

The Issuer has been listed on the Main Market of Bursa Malaysia since September 2010 and had a market capitalisation of RM196.4 million as at 30 June 2026. It employed 1,284 persons as at 31 December 2025.

For the financial year ended 31 December 2025 the Issuer recorded revenue of RM184.2 million, EBITDA of RM33.8 million and profit for the financial year of RM11.8 million. Total assets stood at RM225.5 million and shareholders' funds at RM89.8 million. It has been profitable in each of the last eighteen financial years, including through the pandemic.

1.2 Purpose of the offering

The Issuer is offering RM15,000,000 in nominal value of Sukuk Murabahah, the inaugural issue under its RM80.0 million Sukuk Programme. Of that, RM10,500,000 is allocated to the Anchor Investor and RM4,500,000 to retail investors through the Tokenkan platform in fractional denominations from RM100, subject to a maximum holding of RM30,000 per investor.

Proceeds will fund cold store expansion at Klang and Senai, replacement of 32 refrigerated vehicles, refinancing and working capital. Section 5 has the detail.

1.3 The lowest-risk offering on the Platform, and what that does and does not mean

On every credit measure this is the strongest of the six issuers on the Platform: an A2 rating, gross gearing of 1.03 times against a 1.75 times covenant, EBITDA coverage of finance costs at 4.3 times against a 2.50 times minimum, unencumbered asset cover of 214 per cent. against a 150 per cent. requirement, and eighteen consecutive profitable years.

It is also the offering with the lowest profit rate, at 5.90 per cent. That relationship is the whole point: on this Platform, rate and risk move together, and an investor choosing between 5.90 per cent. here and 7.50 per cent. on the unrated offerings is being asked to price that difference.

What the strength does not mean is that the instrument is safe in absolute terms. It is unsecured and ranks behind RM66.0 million of secured financing. Nothing guarantees the A2 rating holds for five years. There is no investor put, so an investor needing money before June 2031 depends on a standing bid that is capped at RM225,000 monthly and can be suspended. And the business requires continuous capital expenditure, so free cash flow is thin even in good years.

1.4 Why this issuance exists

A conventional RM15.0 million bond issuance sits at the margin of viability in Malaysia. Fixed costs of RM1.4 million to RM1.9 million, largely irrespective of size, would consume 9 to 13 per cent. of the proceeds. The total cost of this issuance is RM280,000, being 1.87 per cent. of nominal value, the lowest proportion among the six offerings, which is what scale achieves even at this size.

1.5 Key investment highlights

Highest rating and strongest metrics on the Platform

A2 stable from RAM, with the lowest gearing, highest coverage and widest covenant headroom of the six issuers.

Assets with a real resale market

Cold store property and refrigerated vehicles have identifiable secondary markets, unlike leasehold fit-out or third-party rooftop installations. This is why the unencumbered asset covenant is set at 150 per cent. here and currently stands at 214 per cent.

Contracted and accredited revenue

Warehousing and distribution contracts run two to four years, and Good Distribution Practice accreditation and halal certification are barriers that a new competitor cannot acquire quickly.

Eighteen consecutive profitable years

Including through the pandemic, when cold chain food distribution proved defensive.

Debt service reserve

One semi-annual profit payment, RM442,500, held in an account under the control of the Trustee throughout the tenure.

1.6 Key risks

A summary only. Section 7 must be read in full.

- **Unsecured, behind RM66.0 million** of secured financing over the cold stores and fleet.
- **Customer concentration.** The five largest customers were 46.8 per cent. of FY2025 revenue; the largest 14.2 per cent. Contracts re-tender every two to four years.
- **Thin free cash flow.** Minus RM200,000, RM1.2 million and RM2.4 million over three years, because replacement capital expenditure does not fall away when growth slows.

- **Cost pass-through is incomplete.** Fuel adjusts with a quarterly lag on 60 per cent. of distribution revenue; wages have no mechanism at all.
- **Temperature excursion liability** can exceed the freight revenue earned, particularly on pharmaceutical consignments. Insurance is capped at RM12.0 million per occurrence.
- **Expansion partly speculative.** Only 62 per cent. of the additional pallet capacity is covered by letters of intent.
- **Refrigerant transition** of RM6.0 million to RM9.0 million over eight years, not fully provided for.
- **Competition from larger integrated operators** at each re-tender.
- **Substantial preferential claims.** 1,284 employees rank ahead of any unsecured shortfall.
- **Five-year tenure with no investor put.** Exit depends on a standing bid capped at RM225,000 monthly and suspended while a default continues.

1.7 Summary financial information

RM'000	FY2023	FY2024	FY2025
Revenue	148,600	166,400	184,200
EBITDA	25,000	29,400	33,800
Profit for the financial year	7,300	9,600	11,800
Total assets	179,000	200,700	225,500
Total liabilities	110,600	122,700	135,700
Total equity	68,400	78,000	89,800
Total financing	76,600	84,400	92,200
Net cash from operating activities	18,400	21,600	25,200
Free cash flow after capital expenditure	(200)	1,200	2,400
Gross gearing (times)	1.12	1.08	1.03
EBITDA / finance costs (times)	3.7	4.0	4.3

1.8 Operating statistics

	FY2023	FY2024	FY2025
Cold store capacity (pallet positions)	24,600	26,800	28,400
Cold store utilisation (%)	84	88	91
Refrigerated vehicles in fleet	142	156	168
Five largest customers as % of revenue	49.4	47.6	46.8
Largest single customer as % of revenue	16.8	15.4	14.2
On-time in-full delivery performance (%)	97.2	97.8	98.1
Product loss and excursion claims (RM'000)	840	620	710

2. ISSUER BACKGROUND

2.1 History and development

The Issuer was incorporated in June 2003 by Loh Kim Seng, who had spent the preceding decade in refrigerated haulage, initially operating a fleet of twelve refrigerated trucks serving food manufacturers in the Klang Valley.

It commissioned its first cold store at Klang in 2008, which converted it from a haulier into a logistics operator with warehousing capability and materially improved the stickiness of its customer relationships. It listed on the Main Market in September 2010, raising RM42.4 million, which funded expansion of that facility.

The Senai facility was commissioned in 2016 to serve Johor and the Singapore border trade. Good Distribution Practice accreditation for pharmaceutical distribution was obtained in 2019, opening a higher-margin segment which contributed RM14.6 million in FY2025. Halal logistics certification was obtained at both facilities in 2021.

This is the inaugural debt capital markets issuance of the Issuer, which has funded itself to date through equity, bank term financing and hire purchase.

2.2 Business model

The Issuer earns revenue from three related activities. Temperature-controlled distribution moves chilled and frozen goods from manufacturers and importers to supermarket distribution centres, food service operators and pharmacies. Cold storage warehousing holds goods at specified temperatures, charged on pallet positions occupied and on handling movements. Ambient distribution and freight forwarding serve the non-temperature-controlled needs of the same customers.

The economics rest on two things. The first is cold store utilisation, currently 91 per cent.: refrigeration energy, insulation maintenance and standby power are largely fixed, so incremental pallet occupancy converts to margin at a high rate, and the reverse is equally true. The second is fleet utilisation and route density, since a refrigerated vehicle running partly empty carries nearly the same cost as a full one.

The barriers that protect the business are accreditation and switching cost rather than scale. Good Distribution Practice accreditation and halal certification take time to obtain and are audited continuously, and a customer moving its cold chain provider risks temperature integrity during transition. Those barriers are real but they are not permanent, and each contract is exposed at re-tender.

2.3 Revenue segments

Segment (RM'000)	FY2023	FY2024	FY2025
Temperature-controlled distribution	86,400	97,200	108,600
Cold storage warehousing	42,600	47,800	52,400
Ambient distribution and freight forwarding	16,400	18,200	19,800
Value-added services (repacking, labelling)	3,200	3,200	3,400
Total revenue	148,600	166,400	184,200

Within these segments, pharmaceutical logistics contributed RM14.6 million in FY2025 and carries the highest margin, reflecting the Good Distribution Practice accreditation required to perform it.

2.4 Facilities and fleet

Asset	Location	Capacity	Status
Klang cold store	Bukit Raja, Selangor	17,200 pallet positions	Owned directly; charged to financiers
Senai cold store	Senai, Johor	11,200 pallet positions	Held through subsidiary; charged to financiers
Klang expansion (funded by this issue)	Bukit Raja, Selangor	approx. 4,800 additional positions	To be constructed, commissioning 2028
Senai expansion (funded by this issue)	Senai, Johor	approx. 2,400 additional positions	To be constructed, commissioning 2028
Refrigerated fleet	Nationwide	168 vehicles	Owned; 24,000 under hire purchase
Ambient fleet and forwarding	Nationwide	46 vehicles	Owned and subcontracted

All operations are in Malaysia and all revenue is in ringgit, save for a small proportion of cross-border movements to Singapore invoiced in Singapore dollars.

Investors should note that both existing cold stores are charged to their financiers, which is why these Sukuk are unsecured, and that the unencumbered assets supporting the covenant in Section 4.6 comprise principally the unencumbered part of the fleet, receivables and the Klang land not subject to the existing charge.

2.5 Management and employees

The Issuer employed 1,284 persons as at 31 December 2025, of whom 486 were drivers and vehicle crew, 542 cold store and handling operatives, 118 in fleet maintenance and engineering, 76 in quality, compliance and validation, and 62 in commercial and corporate functions. Approximately 24 per cent. of operational staff are foreign nationals.

This is the largest workforce among the issuers on the Platform, which matters to a creditor for the reason set out in Section 4.7:

preferential employee claims rank ahead of unsecured creditors.

2.6 Strategy

The strategy has three elements: to expand cold store capacity, currently 91 per cent. utilised, which is the binding constraint on growth; to grow the pharmaceutical segment, where accreditation limits competition and margins are higher; and to maintain gearing below 1.25 times so the Issuer retains capacity to fund fleet replacement without recourse to equity. The Issuer does not intend to operate outside Malaysia beyond its existing cross-border movements, or to enter ambient warehousing at scale.

3. CORPORATE STRUCTURE, SHAREHOLDING AND GOVERNANCE

3.1 Group structure

The Issuer operates the distribution business and owns the Klang cold store directly. The Senai facility and part of the fleet are held through subsidiaries which carry the financing secured on those assets.

Subsidiary / associate	Effective interest	Principal activity
Gerak Sejuk Senai Sdn Bhd	100%	Ownership and operation of the Senai cold store facility
Gerak Aset Sdn Bhd	100%	Ownership of refrigerated vehicles under hire purchase and leasing to group operating companies
Gerak Farmasi Logistik Sdn Bhd	100%	Good Distribution Practice accredited pharmaceutical distribution
Gerak Freight Services Sdn Bhd	100%	Ambient distribution, freight forwarding and customs brokerage
Gerak Nilai Tambah Sdn Bhd	70%	Repacking, labelling and value-added warehouse services

3.2 Shareholding of the Issuer

The issued share capital of the Issuer is RM52,000,000 comprising 208,000,000 ordinary shares of RM0.25 each. The shares are listed on the Main Market of Bursa Malaysia, with a market capitalisation of RM196.4 million as at 30 June 2026.

Shareholder	Ordinary shares held	%
Gerak Holdings Sdn Bhd	60,320,000	29.0
Loh Kim Seng	24,960,000	12.0
Meridian Life Assurance Berhad	24,960,000	12.0
Kumpulan Amanah Pekerja Bersatu	18,720,000	9.0
Public shareholders	72,800,000	35.0
Directors other than the above	6,240,000	3.0
Total	208,000,000	100.0

3.3 Board of Directors

The Board comprises eight members, of whom four are independent non-executive directors.

Name	Age	Designation	Appointed
Tan Sri Abdul Rashid bin Mahmud	66	Independent Non-Executive Chairman	February 2010
Loh Kim Seng	58	Group Managing Director	June 2003
Loh Yee Chuan	36	Executive Director, Operations	April 2020
Vijaya Kumari Raman	49	Executive Director and Chief Financial Officer	August 2017
Datin Goh Poh Yee	57	Independent Non-Executive Director	February 2010
Ir. Mohd Adli bin Yusof	54	Independent Non-Executive Director	June 2019
Cheryl Tan Su Ming	45	Independent Non-Executive Director	January 2024
Ahmad Zaki bin Rahman	51	Non-Independent Non-Executive Director	March 2021

3.4 Key management

The senior management team combines cold chain operations, pharmaceutical logistics and finance experience.

Name	Position	Relevant experience
Loh Kim Seng	Group Managing Director	Founder; 31 years in logistics, previously in refrigerated haulage operations.
Vijaya Kumari Raman	Chief Financial Officer	Chartered accountant with 22 years' experience, including nine in listed logistics.
Loh Yee Chuan	Executive Director, Operations	11 years with the Issuer; responsible for cold store operations and fleet management.
Ravi Chandrasekaran	Head of Pharmaceutical Logistics	17 years in Good Distribution Practice compliant distribution and validation.
Nor Hafizah binti Idris	Head of Commercial	15 years in logistics account management and contract tendering.

3.5 Corporate governance

Gerak Logistik Bhd | Sukuk Murabahah | RM15,000,000 | A2 | Originated on Tokenkan

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The Board of Directors of the Issuer is responsible for the overall stewardship of the Group, including the approval of strategy and annual

budgets, the oversight of risk management and internal control, the approval of material capital commitments and financing arrangements, and the integrity of financial reporting. The Board meets at least quarterly and on such other occasions as the business of the Group requires.

The Board is supported by three standing committees. The Audit and Risk Committee, comprising a majority of independent directors and chaired by an independent director, reviews the financial statements before submission to the Board, oversees the internal audit function and the relationship with the external auditors, and monitors the principal risks of the Group and the adequacy of mitigating controls. The Nomination and Remuneration Committee reviews the composition and effectiveness of the Board and the remuneration framework for directors and senior management. The Board Investment Committee reviews material capital expenditure, acquisitions and financing proposals before they are submitted to the Board.

The Group maintains an internal audit function which reports functionally to the Audit and Risk Committee and administratively to the chief executive. The internal audit plan is approved annually by the Audit and Risk Committee and is prepared on a risk-based methodology covering the principal operating and financial processes of the Group. The Group also maintains a whistleblowing policy under which employees and third parties may report suspected improprieties directly to the chairman of the Audit and Risk Committee.

For so long as the Sukuk remain outstanding, the Issuer has undertaken to maintain a Board comprising not fewer than five directors, of whom at least two shall be independent, and to procure that the Audit and Risk Committee continues to be chaired by an independent director.

The founding family and its holding vehicle hold 41 per cent. of the voting shares and two of the eight board seats. The Issuer leases two ambient warehouse units from a company connected to the Managing Director; both leases were independently valued and approved in accordance with the Main Market Listing Requirements, and the terms are disclosed in the annual report.

4. TERMS OF THE SUKUK

This section summarises the principal terms and conditions of the Sukuk. It is a summary only and is qualified in its entirety by the detailed provisions of the Trust Deed, the Programme Agreement and the Shariah pronouncement and the other Transaction Documents, copies of which are available for inspection at the registered office of the Issuer during normal business hours.

4.1 Summary of principal terms

Issuer	Gerak Logistik Bhd
Instrument	Sukuk Murabahah issued under the Sukuk Programme of the Issuer and distributed through the Tokenkan platform
Shariah principle	Murabahah, effected through a Tawarruq arrangement in Shariah-compliant commodities
Programme size	RM80,000,000 in nominal value
Principal amount of this issuance	RM15,000,000
Issue price	100.00 per cent. of nominal value
Denomination	RM1,000 nominal value per unit, tradable in minimum blocks of RM250,000 nominal value
Tenure	5 years from the issue date
Issue date	25 June 2026
Maturity date	25 June 2031
Profit rate	5.90 per cent. per annum, fixed for the full tenure
Profit payment frequency	Semi-annually in arrears
Profit payment dates	25 June and 25 December
Day count fraction	Actual/365 (Fixed)
Maturity structure	Bullet repayment of the full nominal value on the maturity date
Redemption at maturity	At 100 per cent. of the nominal value, together with accrued and unpaid profit up to but excluding the maturity date
Security	Unsecured, supported by a negative pledge, an unencumbered asset covenant and a debt service reserve
Ranking	Senior unsecured; ranking pari passu with all other present and future unsecured and unsubordinated obligations of the Issuer
Credit rating	A2 by RAM Rating Services Berhad, with a stable outlook
Form	Scripless, prescribed under the Real Time Electronic Transfer of Funds and Securities System (RENTAS)
Listing status	Not listed on any stock exchange; reported on the Electronic Trading Platform
Governing law	Laws of Malaysia
Shariah adviser	Ibnu Hakim Shariah Advisory Sdn Bhd

4.2 Principal amount and denomination

The Issuer proposes to issue RM15,000,000 in nominal value of Sukuk under the Sukuk Murabahah Programme. The Sukuk will be issued in denominations of RM1,000 nominal value per unit. Trading in the secondary market shall be in minimum blocks of RM250,000 nominal value or such other amount as may be prescribed by the operator of RENTAS from time to time.

The Sukuk constitute direct obligations of the Issuer. They are offered through the Tokenkan platform in fractional interests, and are accordingly available to investors who have completed the suitability assessment operated by the platform, including individual investors. Prospective investors should note that eligibility to subscribe is determined by the platform operator in accordance with the requirements applicable to it, and that this document is a disclosure document rather than an invitation extended generally to the public.

4.3 Profit rate and payment

The Sukuk carry a profit rate of 5.90 per cent. per annum on the nominal value, fixed for the full tenure of five years. The semi-annual profit amount is RM442,500 on the full issue, equivalent to RM2.95 per RM100 of nominal value held. Under the Murabahah structure the aggregate profit is fixed at the outset as part of the deferred sale price. This is the lowest rate on the Platform, reflecting the A2 rating, which is the highest here, and the contracted and recurring nature of the revenue of the Issuer.

Profit payments shall be made in arrears on the profit payment dates specified above. Where a profit payment date falls on a day which is not a business day, payment shall be made on the immediately succeeding business day without any adjustment to the amount payable, in accordance with the Following Business Day Convention (unadjusted).

The following table sets out the indicative profit payment schedule for the issuance, assuming the full nominal amount remains outstanding throughout the tenure and no early redemption occurs.

Period	Profit payment date	Indicative payment (RM'000)
Period 1	25 December 2026	442
Period 2	25 June 2027	442
Period 3	25 December 2027	442
Period 4	25 June 2028	442
Period 5	25 December 2028	442
Period 6	25 June 2029	442
Period 7	25 December 2029	442
Period 8	25 June 2030	442
Period 9	25 December 2030	442
Period 10 (final)	25 June 2031	15,442 (including nominal value of 15,000)

The schedule above is indicative only. Actual amounts payable will be computed on an Actual/365 (Fixed) basis by reference to the number of days in each profit period.

4.4 Maturity structure

The Sukuk are structured as a single bullet maturity. The full nominal value of RM15,000,000 falls due on 25 June 2031 together with the final profit payment. The Issuer intends to meet this from accumulated operating cash flow and refinancing. Investors should note that free cash flow after capital expenditure was minus RM200,000, RM1.2 million and RM2.4 million in the three years under review, so accumulated cash alone would not retire the issue and refinancing is expected to be required. The Issuer does, however, own cold store property and fleet against which refinancing can be raised.

4.5 Early redemption

The Sukuk incorporate the following early redemption provisions:

Optional early redemption (call)

The Issuer may, on any profit payment date falling on or after the third anniversary of the issue date, redeem all but not part only of the Sukuk on not less than thirty days' notice, at 100.75 per cent. of nominal value before the fourth anniversary and 100.35 per cent. thereafter, together with accrued and unpaid profit.

Mandatory redemption on disposal of a cold store

If the Issuer disposes of either the Klang or the Senai cold store facility, the net proceeds shall be applied within ninety days to the redemption of Sukuk at nominal value together with accrued profit, unless the Trustee is satisfied that the proceeds will be applied within twelve months to the acquisition or construction of replacement capacity of comparable capability.

Redemption following a change of control

Upon a change of control, being an event whereby Gerak Holdings Sdn Bhd and the Loh family cease collectively to hold, directly or indirectly, more than thirty per cent. of the voting shares of the Issuer, each Sukukholder may require redemption at nominal value together with accrued profit within sixty days.

Redemption for taxation or Shariah reasons

The Issuer may redeem all but not part only of the Sukuk at nominal value together with accrued profit if a change in Malaysian tax law obliges it to pay additional amounts, or if the Shariah Adviser determines the structure has ceased to be Shariah compliant and the deficiency is not remedied within ninety days.

No investor put

Save on a change of control, investors have no right to require redemption before maturity. Exit before maturity is available only through the Anchor Investor standing bid described in Section 9.5.

4.6 Security and collateral

The Sukuk are unsecured obligations of the Issuer. The cold store facilities and the refrigerated fleet are charged to the financiers that funded them, at RM66.0 million out of total financing of RM92.2 million, or 71.6 per cent., so no first-ranking security of substance was available.

The protections are contractual, and are somewhat stronger than on the other unsecured offerings on the Platform because the Issuer owns realisable assets:

- a negative pledge preventing further security over the present and future assets of the Issuer, save for permitted security comprising security existing at the issue date and disclosed in Section 6.6, security arising by operation of law, and purchase money security over vehicles and equipment up to RM30.0 million in aggregate, which is how a logistics operator funds fleet replacement;
- an unencumbered asset covenant requiring consolidated assets not subject to security to represent at all times not less than one hundred and fifty per cent. of aggregate unsecured financial indebtedness, tested semi-annually. This is the highest such covenant among the offerings on the Platform and currently stands at 214 per cent.;
- a debt service reserve requiring the Issuer to maintain at all times, in an account under the control of the Trustee, an amount not less

- than the next semi-annual profit payment, being RM442,500;
- the mandatory redemption on disposal of a cold store described in Section 4.5; and
 - a distribution restriction preventing dividends where an event of default is continuing, where a covenant would be breached following payment, or where dividends in any financial year would exceed fifty per cent. of consolidated profit.

4.7 Ranking of investors

The Sukuk constitute direct, unconditional, unsecured and unsubordinated obligations of the Issuer, ranking pari passu among themselves and with its other unsecured and unsubordinated obligations, save for obligations mandatorily preferred by law.

The Sukuk rank behind secured financing of RM66.0 million to the extent of the assets securing it, being the Klang and Senai cold store facilities and the refrigerated fleet financed under hire purchase.

In respect of any shortfall, Sukukholders would rank as unsecured creditors behind winding-up costs and preferential claims including employee entitlements. Investors should note that the Issuer employed 1,284 persons as at 31 December 2025, the largest workforce among the issuers on the Platform, so preferential employee claims would be substantial.

Fractional interests rank equally with whole units and with the Anchor Investor allocation.

4.8 Covenants

The Trust Deed contains positive, negative and financial covenants customary for an issuance of this nature. The principal financial covenants, to be tested semi-annually by reference to the audited consolidated financial statements of the Issuer and, where applicable, its unaudited semi-annual management accounts, are as follows:

Financial covenant	Required level	Position as at 31 December 2025
Gross gearing ratio (total financing to total equity)	Not more than 1.75 times	1.03 times
Total financing to EBITDA	Not more than 4.00 times	2.7 times
EBITDA to finance costs	Not less than 2.50 times	4.28 times
Unencumbered assets to unsecured financial indebtedness	Not less than 150 per cent.	214 per cent.
Debt service reserve	Not less than one semi-annual profit payment	Funded at issue
Consolidated shareholders' funds	Not less than RM75.0 million	RM89.8 million

The principal negative covenants restrict the Issuer from, among other things: (a) creating or permitting to subsist any security interest over its assets other than permitted security; (b) disposing of a material part of its assets otherwise than on arm's length terms in the ordinary course of business; (c) undertaking any substantial change to the general nature of its business; (d) entering into any amalgamation, demerger, merger or corporate reconstruction which would have a material adverse effect; and (e) declaring or paying any dividend or making any distribution where an event of default is continuing or would result from such payment.

4.9 Events of default

The occurrence of any of the following shall constitute an event of default, subject to the grace periods specified in the Trust Deed: non-payment of any amount due under the Sukuk within seven business days of the due date; breach of any financial covenant; breach of any other obligation which is not remedied within thirty days of notice; cross-default in respect of any other financial indebtedness of the Issuer or any material subsidiary exceeding RM25.0 million in aggregate; the commencement of insolvency, winding-up or receivership proceedings; the cessation or material change of business; the invalidity or unenforceability of any Transaction Document; and the occurrence of any event having a material adverse effect on the ability of the Issuer to perform its payment obligations.

Upon the occurrence of an event of default which is continuing, the Trustee may, and shall if so directed by an extraordinary resolution of the Sukukholders, declare the Sukuk to be immediately due and payable at their nominal value together with accrued and unpaid profit.

4.10 Roles and parties

Originating Platform	Tokenkan Capital Sdn Bhd (Registration No. 202301009284 (1502773-D))
Registrar and Paying Agent	Tokenkan Capital Sdn Bhd
Digital Asset Custodian	Sentinel Digital Custody Sdn Bhd, registered with the Securities Commission Malaysia
Trustee	Amanah Wilayah Trustee Berhad
Shariah Adviser	Ibnu Hakim Shariah Advisory Sdn Bhd
Rating Agency	RAM Rating Services Berhad
Auditor	Sim Abdullah & Associates PLT
Solicitors	Krishnan Yeoh & Partners
Anchor Investor	Meridian Credit Opportunities Fund I, a professional credit fund managed by Meridian Capital Partners Sdn Bhd

5. USE OF PROCEEDS

5.1 Summary of application

The gross proceeds of RM15,000,000 are to be applied as set out below. The Issuer confirms that the proceeds will not be applied to any activity which is not Shariah compliant, and that it does not carry, store or distribute alcohol or non-halal products.

Application	Amount (RM'000)	Proportion	Expected timing
Cold store expansion at Klang and Senai	7,400	49.3%	Q4 2026 to Q4 2028
Replacement of 32 refrigerated vehicles	4,200	28.0%	Q1 2027 to Q4 2028
Refinancing of existing financing	2,800	18.7%	Within 30 days of issue
Working capital	320	2.1%	As required
Expenses of the offering (see 5.2)	280	1.9%	On issue
Total gross proceeds	15,000	100.0%	

5.2 Expenses of the offering, including Platform fees

This offering is originated on the Tokenkan platform rather than arranged by an investment bank, and the fee structure differs from that of a conventional issuance. It is set out in full below, because the economic case for this offering rests on that difference and investors are entitled to test it.

The Platform charges the Issuer a tiered origination and listing fee, at 2.5 per cent. of nominal value for issues of RM1 million to RM5 million, 1.5 per cent. from RM5 million to RM10 million and 1.0 per cent. above RM10 million, subject in each case to a minimum of RM25,000. This issue falls in the 1.0 per cent. tier, giving a fee of RM150,000.

Payee	Amount (RM'000)	Basis
Tokenkan Capital Sdn Bhd - origination and listing fee	150	1.0% of nominal value (above RM10m tier)
RAM Rating Services Berhad - rating and surveillance	56	Fixed
Trustee - acceptance and annual fees (5 years)	46	Fixed
Shariah Adviser	14	Fixed
Solicitors	10	Fixed
Reporting accountants	4	Fixed
Total charged against proceeds	280	

The total cost of this issuance is RM280,000, being 1.87 per cent. of nominal value. Investors should compare this against the fixed cost of a conventional issuance, which the Issuer estimates at RM1.4 million to RM1.9 million irrespective of size once rating, trustee, legal, Shariah advisory, registry, settlement and underwriting fees are aggregated. On an issue of RM15,000,000 a conventional cost base of that order would consume between 9 per cent. and 13 per cent. of the proceeds, which is the reason this issuance would not otherwise have taken place.

Fees charged to investors

Investors pay no fee on subscription. The Platform charges a transaction fee of 1.0 per cent. on every purchase and on every sale executed through it, including a sale into the standing bid described in Section 9.5. On a subscription of RM200 the fee is RM2.

Investors should note the effect of this on a short holding period. An investor who subscribes and later sells into the standing bid pays 1.0 per cent. on the way in and 1.0 per cent. on the way out, and bears the standing bid discount described in Section 9.5 in addition. Round-trip cost is therefore material relative to a single periodic distribution, and this instrument is not suited to short-term trading.

5.3 Description of each application

Cold store expansion

RM7.4 million will fund the addition of approximately 4,800 pallet positions at Klang and 2,400 at Senai, together with the associated refrigeration plant, racking, dock levellers and standby generation. Both extensions are on land already owned within the existing facility footprints, which removes land acquisition and planning risk and allows the extensions to share existing refrigeration infrastructure, security and staffing.

Utilisation at 91 per cent. is the constraint the expansion addresses. The Issuer has declined three warehousing enquiries during 2026 for want of capacity, and cannot accept material additional distribution volume without the warehousing to support it, since the two services are usually contracted together.

Investors should note that the expansion is not fully contracted. Letters of intent from existing customers cover approximately 62 per cent. of the additional capacity; the balance is speculative. Cold store space carries high fixed running costs whether occupied or not, principally refrigeration energy, so unlet capacity is more expensive than empty dry warehousing would be. Commissioning is expected during the second half of 2028, while profit payments begin in December 2026.

Replacement of 32 refrigerated vehicles

RM4.2 million will replace 32 refrigerated vehicles reaching the end of their eight-year economic life, at an average of RM131,000 each.

This is replacement rather than growth expenditure, and investors should understand why it appears in a use of proceeds at all. A refrigerated vehicle beyond its economic life shows rising breakdown rates, and a breakdown in a cold chain is not merely a delay: the consignment can be lost. Deferring replacement would improve reported cash flow while raising the excursion risk described in Section 7.2 and threatening the temperature-integrity commitments on which every customer contract rests. The Issuer has chosen to fund it with term financing rather than defer it.

The new vehicles also use compliant refrigerants, which addresses part of the transition cost described in Section 7.2.

Refinancing

RM2.8 million will prepay hire purchase and revolving facilities carrying floating rates and maturing within two years. This extends the weighted average maturity of financing from 4.6 years to 5.3 years and increases the fixed rate proportion from 64 to 73 per cent.

Working capital

RM320,000 will fund the additional fuel, spares and pallet inventory associated with the enlarged fleet and warehouse capacity.

5.4 Management of proceeds

Proceeds will be credited on the issue date to a Disbursement Account operated by the Issuer under the supervision of the Trustee. Withdrawals require a certificate of two authorised officers confirming the amount is required for an application in Section 5.1, supported by the certificate of the project quantity surveyor for construction works, supplier invoices for refrigeration plant and vehicles, and the redemption statement of the relevant financier for the refinancing.

The debt service reserve of RM442,500 described in Section 4.6 will be funded from the proceeds on the issue date and held in an account under the control of the Trustee throughout the tenure.

Pending application, balances may be invested only in Shariah-compliant liquid instruments issued or guaranteed by the Government of Malaysia or licensed Malaysian financial institutions, of a tenure not exceeding three months.

The Issuer may reallocate up to ten per cent. of gross proceeds between the applications in Section 5.1 on notice to the Trustee. Any greater reallocation requires the approval of Sukukholders by extraordinary resolution.

The Issuer will report quarterly through the Platform on the application of proceeds, on cold store capacity and utilisation, on customer concentration, and on compliance with the covenants in Section 4.8 including the unencumbered asset test.

5.5 If the offering is not fully subscribed

This offering is not underwritten. The Anchor Investor has committed to its allocation of RM10,500,000 but will not absorb any part of the retail tranche which is not taken up.

The minimum level of subscription for the retail tranche is RM2,250,000, being half of it. If retail subscriptions fall below that level at the close of the offer period, the offering is withdrawn in its entirety, including the Anchor Investor allocation, and all subscription monies are returned in full within five business days without profit. Subscription monies are held in a segregated client account with a licensed Malaysian bank throughout the offer period and form no part of the assets of the Issuer or of the Platform.

If retail subscriptions reach RM2,250,000 but fall short of RM4,500,000, the offering proceeds at the amount raised, applied in the order: expenses and the debt service reserve; refinancing; vehicle replacement; then the cold store expansion, with the Senai extension deferred before the Klang extension. The profit rate does not change.

5.6 Expected effect

- an increase in cold store capacity from 28,400 to approximately 35,600 pallet positions, commissioning during the second half of 2028;
- replacement of 32 refrigerated vehicles with compliant-refrigerant units, reducing breakdown and excursion risk and addressing part of the refrigerant transition cost;
- extension of the weighted average maturity of financing from 4.6 to 5.3 years and an increase in the fixed rate proportion from 64 to 73 per cent.;
- a debt service reserve of RM442,500 funded and held under the control of the Trustee;
- gross gearing rising from 1.03 to 1.17 times and financing to EBITDA from 2.7 to 3.1 times, as set out in Section 6.5.

6. FINANCIAL INFORMATION

The financial information set out in this section has been extracted from the audited consolidated financial statements of the Issuer for the three financial years ended 31 December 2023, 2024 and 2025, which were prepared in accordance with Malaysian Financial Reporting Standards and the requirements of the Companies Act. The auditors of the Issuer, Sim Abdullah & Associates PLT (AF 1382), issued unqualified audit opinions in respect of each of the three financial years presented.

Investors should read the financial information below together with the accompanying commentary and the risk factors set out in Section 7. Historical results are not necessarily indicative of results that may be expected for any future period.

6.1 Consolidated statements of comprehensive income

All amounts are stated in RM'000 unless otherwise indicated. Figures in parentheses denote negative amounts.

	FY2023	FY2024	FY2025
Revenue	148,600	166,400	184,200
Cost of sales	106,400	118,200	129,800
Gross profit	42,200	48,200	54,400
Other operating income	1,400	1,600	1,800
Administrative and other operating expenses	18,600	20,400	22,400
EBITDA	25,000	29,400	33,800
Depreciation and amortisation	8,600	9,400	10,400
Operating profit (EBIT)	16,400	20,000	23,400
Finance costs	6,800	7,400	7,900
Profit before taxation	9,600	12,600	15,500
Taxation	2,300	3,000	3,700
Profit for the financial year	7,300	9,600	11,800
EBITDA margin (%)	16.8	17.7	18.3
Net profit margin (%)	4.9	5.8	6.4

Revenue increased from RM148.6 million in FY2023 to RM166.4 million in FY2024 and RM184.2 million in FY2025, growth of 12.0 per cent. and 10.7 per cent. Growth came from higher volumes with existing food and pharmaceutical customers, from two new pharmaceutical accounts won on Good Distribution Practice accreditation, and from higher cold store utilisation.

Gross profit increased from RM42.2 million to RM54.4 million and the gross margin from 28.4 per cent. to 29.5 per cent. EBITDA increased from RM25.0 million to RM33.8 million and the EBITDA margin from 16.8 per cent. to 18.3 per cent., reflecting fixed cold store costs spread over higher throughput.

Investors should note that this margin improvement was achieved despite rising driver wages and fuel costs, through utilisation rather than pricing. It follows that the improvement would reverse if volumes fell, since the same fixed cost base would then be spread over less throughput.

Finance costs increased from RM6.80 million to RM7.90 million with financing drawn on cold store and fleet investment. Profit for the financial year increased from RM7.30 million to RM11.80 million and the net margin from 4.9 per cent. to 6.4 per cent.

6.2 Consolidated statements of financial position

	FY2023	FY2024	FY2025
<i>NON-CURRENT ASSETS</i>			
Cold stores, refrigerated fleet, plant and equipment	128,400	142,600	158,200
Deferred tax assets, right-of-use assets and other non-current assets	4,600	5,100	5,600
<i>Total non-current assets</i>	<i>133,000</i>	<i>147,700</i>	<i>163,800</i>
<i>CURRENT ASSETS</i>			
Trade receivables from customers and other receivables	26,400	29,800	33,200
Fuel, spare parts, pallets and packaging materials	3,200	3,600	4,000
Prepayments, deposits and other current assets	3,800	4,200	4,700
Cash, bank balances and Islamic deposits	12,600	15,400	19,800
<i>Total current assets</i>	<i>46,000</i>	<i>53,000</i>	<i>61,700</i>
TOTAL ASSETS	179,000	200,700	225,500
<i>EQUITY</i>			
Share capital	52,000	52,000	52,000
Reserves and retained earnings	16,400	26,000	37,800
<i>Total equity</i>	<i>68,400</i>	<i>78,000</i>	<i>89,800</i>
<i>NON-CURRENT LIABILITIES</i>			
Islamic financing – non-current	62,000	68,000	74,000
Deferred tax, lease liabilities and employee benefit provisions	8,400	9,200	10,000
<i>Total non-current liabilities</i>	<i>70,400</i>	<i>77,200</i>	<i>84,000</i>
<i>CURRENT LIABILITIES</i>			
Islamic financing – current	14,600	16,400	18,200
Trade payables, subcontracted haulage and accruals	20,200	22,800	25,600
Other payables, customer advances and taxation	5,400	6,300	7,900
<i>Total current liabilities</i>	<i>40,200</i>	<i>45,500</i>	<i>51,700</i>
<i>Total liabilities</i>	<i>110,600</i>	<i>122,700</i>	<i>135,700</i>
TOTAL EQUITY AND LIABILITIES	179,000	200,700	225,500

Total assets increased from RM179.0 million to RM225.5 million over the review period. Cold stores, refrigerated fleet, plant and equipment stood at RM158.2 million as at 31 December 2025, being 70.2 per cent. of total assets.

Investors should note the quality of those assets relative to the other unsecured offerings on the Platform. Cold store property and refrigerated vehicles have identifiable resale markets, which is why the unencumbered asset covenant here is set at 150 per cent. rather than the 130 per cent. applied to the property offerings, and why it currently stands at 214 per cent.

Trade receivables of RM33.2 million correspond to approximately 66 days of revenue, reflecting the payment terms of large food and pharmaceutical customers.

Total equity increased from RM68.4 million to RM89.8 million through retained earnings. Share capital was unchanged at RM52.0 million. Total financing increased from RM76.6 million to RM92.2 million, of which RM66.0 million was secured.

Gross gearing improved from 1.12 times to 1.03 times and financing to EBITDA from 3.1 to 2.7 times. Both are the strongest among the offerings on the Platform and are the principal reason for the A2 rating.

6.3 Consolidated statements of cash flows (summary)

	FY2023	FY2024	FY2025
Net cash generated from operating activities	18,400	21,600	25,200
Net cash used in investing activities	(18,600)	(20,400)	(22,800)
Net cash from/(used in) financing activities	(100)	1,600	2,000
<i>Net increase/(decrease) in cash and cash equivalents</i>	<i>(300)</i>	<i>2,800</i>	<i>4,400</i>
Cash and cash equivalents at beginning of year	12,900	12,600	15,400
Cash and cash equivalents at end of year	12,600	15,400	19,800

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Net cash generated from operating activities increased from RM18.40 million in FY2023 to RM25.20 million in FY2025, with conversion

against EBITDA of 73.6, 73.5 and 74.6 per cent. Conversion is respectable but not high, reflecting receivables at 66 days and the working capital tied up in fuel, spares and pallets.

Net cash used in investing activities of RM18.60 million, RM20.40 million and RM22.80 million comprises cold store refrigeration plant, refrigerated vehicle replacement and telematics and temperature monitoring systems.

Free cash flow was therefore minus RM200,000, RM1.20 million and RM2.40 million. Investors should read this alongside Section 7.2: most of the investing outflow is replacement rather than expansion, so it does not fall away when growth slows. The Issuer generates enough cash to service its obligations comfortably but not enough to retire them, which is why refinancing is expected at maturity.

Cash increased from RM12.60 million to RM19.80 million over the period.

6.4 Selected financial ratios

Ratio	FY2023	FY2024	FY2025
EBITDA margin (times revenue, %)	16.8	17.7	18.3
Return on equity (%)	10.7	12.3	13.1
Total borrowings (RM'000)	76,600	84,400	92,200
Net debt (RM'000)	64,000	69,000	72,400
Gross gearing (times)	1.12	1.08	1.03
Net gearing (times)	0.94	0.88	0.81
Total borrowings / EBITDA (times)	3.1	2.9	2.7
EBITDA / finance costs (times)	3.7	4.0	4.3
Current ratio (times)	1.14	1.16	1.19

Gross gearing improved from 1.12 to 1.03 times against a covenanted maximum of 1.75 times, and would be 1.17 times on a pro forma basis following this issue, leaving 0.58 times of headroom, the widest on the Platform.

Financing to EBITDA improved from 3.1 to 2.7 times against a covenanted maximum of 4.00 times, and would be 3.1 times pro forma. EBITDA cover of finance costs improved from 3.7 to 4.3 times against a covenanted minimum of 2.50 times.

Unencumbered assets to unsecured financial indebtedness stood at 214 per cent. against a covenanted minimum of 150 per cent., which is the most substantial asset protection among the unsecured offerings on the Platform.

The sensitivity to test is volume. If revenue fell by fifteen per cent. with the cold store and fleet cost base unchanged, EBITDA would fall to approximately RM24.6 million. On the pro forma financing of RM104.4 million that gives financing to EBITDA of approximately 4.2 times, marginally outside the 4.00 times covenant, and coverage of approximately 3.0 times, comfortably inside. A decline of that magnitude would therefore trip the leverage test but not the coverage test.

Return on equity improved from 10.7 to 13.1 per cent.

6.5 Pro forma effect of the issuance

The table below illustrates the effect of the issuance on the consolidated statement of financial position of the Issuer as at 31 December 2025, on the assumption that the issuance had been completed on that date and that the proceeds were applied in the manner described in Section 5. The pro forma information is presented for illustrative purposes only and does not purport to represent the actual financial position of the Issuer following the issuance.

	Audited as at 31 December 2025	Pro forma after issuance
Cash, bank balances and deposits	19,800	31,720
Total assets	225,500	237,420
Total financing	92,200	104,400
Total liabilities	135,700	147,900
Total equity	89,800	89,520
Gross gearing (times)	1.03	1.17
Total financing / EBITDA (times)	2.7	3.1

The pro forma assumes gross proceeds of RM15.0 million, application of RM2.8 million to prepayment of existing financing within thirty days of issue, and RM280,000 of offering expenses charged against equity.

Gross gearing would rise from 1.03 to 1.17 times and financing to EBITDA from 2.7 to 3.1 times, both comfortably within covenant. Unencumbered asset cover would remain above the 150 per cent. covenant.

The pro forma reflects no contribution from the cold store expansion, which is expected to commission progressively from the second half of 2028, or from the fleet replacement, which reduces maintenance cost rather than adding revenue. Profit payments begin in December 2026.

6.6 Existing borrowings

As at 31 December 2025, the total borrowings of the Group amounted to RM92.2 million, comprising the facilities summarised below. The Issuer confirms that it has not defaulted on any payment of principal or profit in respect of any of its borrowings during the three financial years under review.

Facility	Outstanding (RM'000)	Maturity profile
Islamic term financing – Klang and Senai cold stores (secured)	42,000	Semi-annual instalments to 2037
Hire purchase and equipment financing – refrigerated fleet (secured on the vehicles)	24,000	Monthly instalments to 2032
Revolving and working capital financing (unsecured)	8,000	Annual review
Current portion of financing and hire purchase	18,200	Within 12 months
Total financing	92,200	

7. RISK FACTORS

Before making an investment decision, prospective investors should carefully consider all the information contained in this document, including in particular the risk factors set out below. The risks described are those which the Issuer currently considers material. They are not exhaustive, and additional risks not presently known to the Issuer, or which the Issuer currently considers immaterial, may also impair its business, financial condition and ability to meet its obligations under the Sukuk.

If any of the following risks materialises, the business, financial condition, results of operations and prospects of the Issuer could be materially and adversely affected. In such circumstances, the Issuer may be unable to pay profit on, or repay the nominal value of, the Sukuk, and investors may lose part or all of their investment.

7.1 Risks relating to the Issuer and the Sukuk

Credit risk

The Sukuk represent unsecured or, where applicable, secured obligations of the Issuer alone. Payment of profit and the repayment of the nominal value depend entirely upon the ability of the Issuer to generate sufficient cash flow from its operations, or to obtain sufficient funds from other sources, at the relevant times. Neither the Trustee, the Platform through which this offering was originated and distributed, nor any other party has guaranteed or assumed any obligation in respect of the payment obligations of the Issuer. In particular, investors should note that this offering was not underwritten and that no arranger stands behind it.

A deterioration in the operating performance of the Issuer, an adverse change in its capital structure, the loss of one or more significant customers or contracts, or an unexpected increase in its cost base could impair its ability to service the Sukuk. As at 31 December 2025, the Group had total borrowings of RM92.2 million against total equity of RM89.8 million, representing a gross gearing ratio of 1.03 times and total borrowings to EBITDA of 2.7 times.

Refinancing risk

The Sukuk are repayable in a single bullet payment at maturity, and the Issuer does not expect to accumulate a sinking fund sufficient to retire the full nominal amount from operating cash flow alone. The Issuer therefore expects to refinance all or a substantial part of the Sukuk at or before maturity. The ability of the Issuer to refinance will depend on conditions in the Malaysian debt capital and bank loan markets at the relevant time, on its credit standing and rating at that time, and on investor appetite for the sector in which it operates. There is no assurance that refinancing will be available on acceptable terms, or at all.

Profit rate risk

The Sukuk carry a fixed profit rate. The market value of fixed-rate debt securities generally moves inversely with prevailing market yields: if benchmark yields, including the yields on Malaysian Government Securities and Government Investment Issues, rise after the issue date, the market value of the Sukuk is likely to fall. Investors who sell the Sukuk before maturity may therefore realise less than the nominal value, and in adverse conditions materially less. Investors who hold the Sukuk to maturity are not exposed to this price risk, but bear the opportunity cost of being locked into a fixed profit rate for the tenure of the instrument.

The Issuer is separately exposed to profit rate risk on its floating-rate bank borrowings, which are typically priced against the relevant cost of funds of the lending institutions. An increase in the Overnight Policy Rate set by the central bank would increase the finance costs of the Group and reduce the headroom available under its profit cover covenant.

Liquidity risk of the Sukuk

The Sukuk will not be listed or quoted on any stock exchange, and the Platform does not operate an order book. Operating a venue that matches buyers and sellers of capital market products would require registration as a Recognized Market Operator, which the Platform has not yet obtained. Exit before maturity is therefore available only through the standing bid maintained by the Anchor Investor at the published formula price described in Section 9.5. That bid is a contractual undertaking of a single counterparty, not a market. It is capped at RM225,000 of nominal value in aggregate in any calendar month, may be suspended in the circumstances set out in Section 9.5, and terminates if the Anchor Investor ceases to hold at least half of its original allocation. Peer-to-peer transfer between investors is intended to follow in phase two once Recognized Market Operator registration is obtained, but no date is committed and investors should not subscribe in reliance on it. An investor who may need the money before 25 June 2031 should treat this offering as unsuitable.

Liquidity and working capital risk of the Issuer

The Issuer requires liquidity to fund its operations, service its debt and meet its capital commitments. As at 31 December 2025, the Group held cash and bank balances of RM19.8 million and recorded a current ratio of 1.19 times. An unexpected lengthening of the collection cycle, the withdrawal of uncommitted banking lines, or a requirement to post additional performance security could strain the liquidity position of the Group.

Rating risk

The Sukuk have been assigned a rating of A2 with a stable outlook by RAM Rating Services Berhad. A credit rating is an opinion on relative creditworthiness at a point in time and is not a recommendation to buy, sell or hold any security. The rating may be reviewed, placed on negative watch, downgraded or withdrawn at any time. A downgrade would be likely to reduce the price obtainable on a sale before maturity.

Subordination and structural risk

The Issuer operates the distribution business and owns the Klang cold store directly. The Senai cold store is held through a wholly owned subsidiary which is the borrower under the financing secured on it, and the fleet is held partly by a separate asset-owning subsidiary under hire purchase arrangements. The Issuer depends on distributions and intercompany settlements from those subsidiaries, and the Senai financing contains a distribution lock-up preventing release of cash where the facility cover ratio falls below 1.30 times. The Issuer has

guaranteed RM34.0 million of subsidiary financing, which would rank as an unsecured claim alongside the Sukuk if called.

Enforcement risk

In the event of a default, the ability of the Trustee to enforce on behalf of Sukukholders may be constrained by the time and cost of legal proceedings in Malaysia, by the availability and realisable value of any security, by the rights of preferential and secured creditors ranking ahead of the Sukuk, and by the terms of any court-sanctioned scheme of arrangement or judicial management order to which the Issuer may become subject. Recoveries following enforcement may be substantially less than the nominal value of the Sukuk and may be received only after considerable delay.

Modification and sukukholders decisions

The Trust Deed provides for meetings of Sukukholders to consider matters affecting their interests generally. Resolutions passed by the requisite majority at a duly convened meeting bind all Sukukholders, including those who did not attend or vote and those who voted against the resolution. The Trustee is also empowered, without the consent of Sukukholders, to agree to modifications of a formal, minor or technical nature or which are made to correct a manifest error.

7.2 Risks relating to the industry and operations of the Issuer

Customer concentration

The five largest customers contributed 46.8 per cent. of FY2025 revenue, and the largest, a national supermarket group, 14.2 per cent. Contracts run for two to four years and are typically re-tendered on expiry.

Losing a large account removes revenue while leaving the cold store space and fleet capacity dedicated to it in place, so the margin effect is disproportionate to the revenue effect. The Issuer lost one account representing 4.6 per cent. of revenue on re-tender in 2024 and replaced it within nine months, which indicates the market is contestable in both directions.

Fuel and wage cost with limited pass-through

Diesel and driver wages are the two largest operating costs. Contracts contain fuel adjustment mechanisms on approximately sixty per cent. of distribution revenue, typically reviewed quarterly with a lag, so a rapid fuel price increase is absorbed by the Issuer for one quarter and only partly recovered thereafter.

Wage costs have no comparable mechanism. Minimum wage increases and competition for licensed drivers have raised driver cost per kilometre in each year under review, and the Issuer cannot reprice mid-contract. The EBITDA margin nonetheless improved from 16.8 to 18.3 per cent. on scale and utilisation, but investors should not extrapolate that improvement.

Temperature excursion and product loss liability

The core commitment of a cold chain operator is that goods remain within a specified temperature range from collection to delivery. A refrigeration failure, power interruption, delayed delivery or human error can spoil an entire consignment, and the Issuer bears liability for the value of the goods, which for pharmaceutical consignments can substantially exceed the freight revenue earned.

The Issuer maintains goods-in-transit and warehouse cover of RM12.0 million per occurrence and recorded claims of RM840,000, RM620,000 and RM710,000 over the review period. A single major excursion at a cold store, as opposed to in transit, would exceed those figures and could jeopardise a large customer relationship as well.

Continuous capital expenditure

Investing outflows were RM18.6 million, RM20.4 million and RM22.8 million against operating inflows of RM18.4 million, RM21.6 million and RM25.2 million, leaving free cash flow of minus RM200,000, RM1.2 million and RM2.4 million.

The greater part of this is replacement rather than growth. A fleet of 168 refrigerated vehicles on an eight-year cycle requires roughly 21 replacements annually irrespective of growth, and refrigeration plant at the cold stores requires periodic overhaul. Deferring this expenditure would flatter cash flow while raising breakdown and excursion risk, so investors should regard it as non-discretionary.

Competition from larger integrated operators

The Issuer competes against larger regional and international logistics groups with broader networks, lower funding costs and the ability to bundle cold chain with freight forwarding and customs services.

Its defence is specialisation, halal and Good Distribution Practice accreditation, and long-standing customer relationships. None of these is permanent, and re-tendering exposes each account to a larger competitor at intervals of two to four years.

Cold store expansion execution and utilisation

RM7.4 million of this issue funds cold store expansion at Klang and Senai. The expansion is not fully contracted against committed volume: approximately 62 per cent. of the additional pallet capacity is covered by letters of intent from existing customers, and the balance is speculative.

Cold store space carries high fixed running costs, principally refrigeration energy, whether occupied or not. Unlet capacity is therefore more costly than empty dry warehousing would be.

Refrigerant transition cost

Malaysia is phasing down hydrofluorocarbon refrigerants under international commitments. A proportion of the refrigeration plant of the Issuer uses refrigerants subject to that phase-down and will require conversion or replacement over the coming decade.

The Issuer estimates the cost at RM6.0 million to RM9.0 million spread over eight years and has not provided for it in full. Investors should regard this as a known future call on cash falling partly within the tenure of these Sukuk.

7.3 Regulatory and compliance risks

Changes in law, regulation and government policy

The Issuer requires operator licences from the Land Public Transport Agency for its commercial vehicle fleet and its drivers must hold the applicable vocational licences. Suspension of operator licensing would halt the distribution business.

Cold store and food distribution operations require food premises licensing and are subject to food safety and hygiene requirements, including temperature record keeping. The Issuer also holds JAKIM halal certification for halal logistics at both facilities, which is a precondition of serving several of its largest food customers and of the Shariah compliance framing of these Sukuk.

Pharmaceutical distribution is subject to Good Distribution Practice requirements administered by the National Pharmaceutical Regulatory Agency, including validated temperature mapping, deviation reporting and audit. Loss of that accreditation would end the pharmaceutical segment, which contributed RM14.6 million in FY2025.

Employment law obligations apply extensively to a workforce of 1,284, including minimum wage, overtime, driver hours and foreign worker levies. Approximately 24 per cent. of operational staff are foreign nationals, and changes to recruitment quotas or levies affect both cost and staffing feasibility.

Environmental regulation applies to refrigerant handling and to the phase-down of hydrofluorocarbon refrigerants under international commitments implemented in Malaysia. Conversion of existing refrigeration plant to compliant refrigerants is a known future cost not fully provided for.

As a Main Market listed issuer the Issuer is subject to the Main Market Listing Requirements, including continuing disclosure and related party transaction approval.

Taxation

Statements in this document concerning taxation are based on the laws and practice in force at the date of this document. Changes in tax legislation, in the interpretation or administration of tax legislation by the Inland Revenue Board, or in the availability of incentives currently enjoyed by the Group could increase the effective tax rate of the Group and reduce the cash flow available for debt service. Prospective investors should consult their own tax advisers as to the tax consequences of acquiring, holding and disposing of the Sukuk.

Anti-money laundering and sanctions

The Group is subject to anti-money laundering, counter-terrorism financing and sanctions regimes applicable in Malaysia and in the jurisdictions in which it operates or into which it sells. A failure by the Group or its counterparties to comply with these regimes could result in fines, restrictions on banking relationships and reputational damage.

7.4 Operational risks

Dependence on key personnel

The performance of the Group depends to a significant extent on the continued service of its senior management team and of technical and operational personnel with specialised experience. Competition for such personnel in Malaysia is intense. The loss of one or more members of senior management, or an inability to attract and retain suitably qualified staff, could disrupt operations and impair the ability of the Group to execute its strategy.

Information technology and cyber security

The Group relies on information technology systems for its operational, financial and customer-facing processes. A material failure of these systems, a successful cyber intrusion, a ransomware incident or a breach of personal data protected under applicable data protection legislation could interrupt operations, expose the Group to regulatory penalties and civil claims, and damage its reputation.

Insurance

The Group maintains insurance cover which it considers appropriate for its operations, including property damage, business interruption, public liability and, where relevant, contractors' all risks cover. However, such cover is subject to policy limits, deductibles and exclusions, and certain risks are not commercially insurable. A loss which is uninsured, underinsured or excluded could have a material adverse effect on the financial condition of the Group.

Litigation and disputes

The Group is, from time to time, party to claims and disputes arising in the ordinary course of business. As at the date of this document, the Directors are not aware of any pending or threatened litigation which, if determined adversely, would have a material adverse effect on the financial condition of the Group. There is no assurance that material claims will not arise in future.

Related party transactions

The Group enters into transactions with related parties in the ordinary course of business. Although the Directors are of the view that such transactions are conducted on arm's length terms and on a basis not more favourable to the related party than to an unrelated third party, there is a risk that the terms of such transactions may differ from those which could be obtained from independent parties.

7.5 Forward-looking statements

This document contains forward-looking statements, including statements regarding the intentions, beliefs and current expectations of the Issuer concerning its results of operations, financial condition, liquidity, prospects, growth and strategy. Words such as anticipates, believes, estimates, expects, intends, may, plans, projects and targets, and similar expressions, are intended to identify such statements. Forward-looking statements are not guarantees of future performance and involve known and unknown risks, uncertainties and assumptions. Actual results may differ materially from those expressed or implied. The Issuer does not undertake any obligation to update

or revise any forward-looking statement, save as required by law or by the terms of the Transaction Documents.

8. INVESTOR FREQUENTLY ASKED QUESTIONS

The questions and answers below are provided for the convenience of prospective investors and are intended as a plain-language guide only. They do not form part of the terms and conditions of the Sukuk and are qualified in their entirety by the detailed provisions of this document and of the Transaction Documents. In the event of any inconsistency, the Transaction Documents shall prevail.

What is the profit rate, and how is it determined?

The profit rate is 5.90 per cent. per annum on nominal value, fixed for five years. That is RM2.95 per RM100 held every six months, or RM5.90 a year. It is the lowest rate on the Platform, reflecting the A2 rating, which is the highest here, the largest issue size, and the fact that a substantial part of the revenue of the Issuer comes from contracted warehousing and distribution arrangements rather than from spot work. Investors seeking a higher yield should look at the other offerings and accept the correspondingly greater credit risk.

How often are payments made, and when will I receive them?

Profit is paid semi-annually in arrears in arrears on 25 June and 25 December of each year, with the first payment falling due on 25 December 2026 and the final payment falling due on the maturity date, 25 June 2031. Payments are made to the persons shown in the records of the depository at the close of business on the relevant record date, which falls two business days before the payment date. Payments are credited directly through RENTAS; no physical certificates are issued and no coupons need to be presented.

When will I get my principal back?

The full RM100 per RM100 of nominal value is repaid on 25 June 2031 together with the final profit payment. There is no amortisation. The Issuer may call the whole issue from the third anniversary at a small premium. Repayment is expected to require refinancing, but the Issuer owns cold store property and fleet against which refinancing can be raised.

What happens if the Issuer defaults?

A default arises if the Issuer fails to pay any amount due within the applicable grace period, breaches a financial covenant, breaches another material obligation and fails to remedy it within the cure period, becomes subject to insolvency proceedings, or triggers one of the other events of default described in Section 4.9. Upon a continuing event of default, the Trustee may, and must if directed by an extraordinary resolution of Sukukholders, accelerate the Sukuk so that the full nominal value and accrued profit become immediately due and payable.

The Sukuk are unsecured and rank behind RM66.0 million of secured financing charged over the cold stores and fleet. What distinguishes this issuer from the other unsecured offerings on the Platform is that it owns substantial realisable assets: cold store property and refrigerated vehicles have identifiable resale markets, unlike leasehold restaurant fit-out or a solar array on someone else's roof. The unencumbered asset covenant at 150 per cent., currently standing at 214 per cent., is the mechanism ensuring a pool of unpledged assets remains available. Investors should note that specialised cold store property still sells at a discount to existing use value, and that 1,284 employees give rise to substantial preferential claims ranking ahead of any unsecured shortfall.

Individual investors do not enforce directly. The Trustee acts on behalf of all Sukukholders collectively, which prevents a disorderly race to enforce and ensures that any recoveries are distributed rateably in accordance with the priority of payments set out in the Trust Deed.

Is this issuance Shariah compliant?

Yes. The structure is Murabahah effected through a Tawarruq arrangement: Sukukholders, through the Trustee, purchase Shariah-compliant commodities and sell them to the Issuer at a deferred price comprising nominal value plus an agreed profit. The Issuer confirms it does not carry, store or distribute alcohol or non-halal products, and its Klang and Senai facilities hold JAKIM halal certification for halal logistics. The structure has been reviewed and approved by Ibnu Hakim Shariah Advisory Sdn Bhd. Investors should consult their own Shariah advisers.

What are the main risks I should focus on?

The Issuer would direct attention to five risks in particular. First, credit risk: repayment depends entirely on the Issuer, and the Sukuk benefit from no third-party guarantee. Second, refinancing risk: the Sukuk repay in a single bullet payment at maturity and the Issuer expects to refinance rather than fully amortise from operating cash flow. Third, profit rate risk: the rate is fixed, so the market value of the Sukuk will fall if benchmark yields rise. Fourth, liquidity risk: the Sukuk are unlisted, secondary market trading may be thin, and investors should be prepared to hold to maturity. Fifth, the sector-specific risks described in Section 7.2, which for the Issuer principally concern customer concentration among a small number of large food and pharmaceutical accounts, exposure to fuel price and driver wage inflation with limited pass-through, temperature excursion and product loss liability, continuous capital expenditure on cold stores and refrigerated fleet, competition from larger integrated logistics operators, and dependence on halal and food safety certification. Section 7 should be read in full.

How will the proceeds be used?

The gross proceeds of RM15.0 million will be applied as set out in Section 5: RM7.4 million to cold store expansion at Klang and Senai, RM4.2 million to replacement of 32 refrigerated vehicles, RM2.8 million to refinancing existing financing, RM320,000 to working capital, and RM280,000 to the expenses of the offering including the Platform origination fee.

What is the credit rating, and what does it mean?

RAM Rating Services Berhad has assigned a rating of A2 with a stable outlook to the Sukuk. On the rating scale of the agency, an A rating denotes adequate capacity to meet financial obligations, with greater susceptibility to adverse changes in circumstances and economic conditions than obligations rated in the AA and AAA categories. The numerical modifier 2 indicates the middle of that band. A rating is an opinion on relative creditworthiness at a given point in time. It is not a recommendation to buy, sell or hold, it does not comment on the market price or suitability of the instrument for any particular investor, and it may be reviewed, downgraded or withdrawn at any time.

Who can invest, and in what amounts?

The Sukuk are issued in denominations of RM1,000 nominal value. Fractional interests in the Sukuk are made available through the Tokenkan platform, under which an investor may subscribe for an interest of not less than RM100 and in increments of RM1 thereafter. The platform operator holds the underlying Sukuk and records the fractional entitlement of each investor. An investor holding a fractional interest is entitled to the corresponding share of each profit payment and of the redemption proceeds, but is not the registered holder of the Sukuk and exercises rights under the Trust Deed through the platform operator.

Are the Sukuk secured?

No. This is unsecured, and the cold stores and fleet are already charged to the financiers that funded them. The negative pledge also permits further purchase money security over vehicles up to RM30.0 million, which is how fleet replacement is funded. The substantive protections are the unencumbered asset covenant at 150 per cent., currently 214 per cent., the debt service reserve under Trustee control, the mandatory redemption on disposal of a cold store, and the dividend restriction.

Where do I rank against other creditors?

Sukukholders rank as senior unsecured creditors, equally with each other and with the Anchor Investor. They rank behind RM66.0 million of secured financing to the extent of its security, and behind preferential claims, which for a company employing 1,284 people would be substantial.

Can the Issuer redeem early, and what would I receive?

The Issuer may call the whole issue from the third anniversary at 100.75 per cent. of nominal value, falling to 100.35 per cent. from the fourth. Investors have a put right on a change of control, and a mandatory redemption applies on the disposal of a cold store which is not replaced. Otherwise the only exit is a sale into the Anchor Investor standing bid described in Section 9.5, which carries a 1.00 per cent. discount, the smallest on the Platform, is capped at RM225,000 a month and may be suspended.

How is my investment taxed?

The tax treatment of profit depends on the residence, legal form and tax status of the investor. Withholding tax may apply to payments made to certain non-resident investors, subject to any relief available under an applicable double taxation agreement. Certain classes of Malaysian institutional investors enjoy exemptions in respect of profit income from ringgit-denominated sukuk. The Issuer does not provide tax advice, and prospective investors should consult their own advisers.

How will I be kept informed after issuance?

The Issuer is required under the Trust Deed to deliver to the Trustee its audited consolidated financial statements within 120 days of each financial year end and its unaudited semi-annual accounts within 90 days of each half year end, together with a compliance certificate confirming observance of the financial covenants. The Issuer must also notify the Trustee promptly of any event of default or potential event of default, and of any development which would have a material adverse effect. The rating agency conducts a formal review of the rating at least annually.

Can I sell before maturity?

Fractional interests may be offered for sale through the matching facility operated by the Tokenkan platform, and the platform may also quote an indicative price at which it is prepared to take the position. Investors should understand clearly that this is not a listed market and that no party is obliged to buy. Whether a sale can be effected, and at what price, depends on the presence of a willing counterparty, on prevailing market yields and on the credit standing of the Issuer at the time; the price may be above or below the nominal value. An investor who is unable to sell should expect to hold to maturity, at which point the full nominal value becomes payable.

This looks like the safest offering here. Is it?

It is the most conservatively financed of the six, and the figures support that: A2 rating, gross gearing of 1.03 times against a 1.75 times covenant, coverage of 4.3 times against a 2.50 times minimum, unencumbered asset cover of 214 per cent. against a 150 per cent. requirement, and eighteen consecutive years of profitability including through the pandemic.

Investors should nonetheless not read that as safe in an absolute sense. The Sukuk are unsecured and rank behind RM66.0 million of secured financing. There is no rating agency guarantee that A2 will hold for five years. Cold chain logistics is capital-intensive and competitive, and margins are compressed by fuel and labour costs the Issuer cannot fully pass on. There is no investor put, so an investor who needs money before June 2031 depends on a standing bid that is capped and can be suspended.

The honest framing is that this is the lowest-risk offering on the Platform, which is a relative statement, and that 5.90 per cent. is what that relative safety is worth against the 7.50 per cent. available on the unrated offerings.

Why does a logistics company need such heavy capital expenditure?

Because it owns its infrastructure rather than renting it. Cold stores require refrigeration plant, insulated construction, standby power and continuous maintenance; refrigerated vehicles cost substantially more than dry trucks and have shorter economic lives because the refrigeration unit wears faster than the chassis.

Investing outflows were RM18.6 million, RM20.4 million and RM22.8 million over the three years, against operating inflows of RM18.4 million, RM21.6 million and RM25.2 million. Most of that is replacement rather than growth: a refrigerated fleet of 168 vehicles on an eight-year cycle requires approximately 21 vehicles replaced annually regardless of whether the business is growing.

The consequence for investors is that free cash flow is thin even in good years, and that a decision to defer fleet replacement, which would improve reported cash flow, would raise breakdown rates and threaten the temperature-integrity commitments on which the business depends.

Where can I obtain further information?

Copies of the Trust Deed, the other Transaction Documents, the audited financial statements of the Issuer for the three financial years covered by this document, the rating letter and the Shariah pronouncement and the constitution of the Issuer are available for inspection at the registered office of the Issuer during normal business hours for the period during which the Sukuk remain outstanding. Enquiries may be directed to the Registrar and Paying Agent, Tokenkan Capital Sdn Bhd.

9. ORIGATION, ALLOCATION AND THE PLATFORM

9.1 How this offering was originated

This offering was originated directly by the Issuer through Tokenkan Capital Sdn Bhd, which operates the Tokenkan platform. No investment bank has acted as lead arranger, lead manager or underwriter.

The Issuer is a company listed on the Main Market of Bursa Malaysia with a market capitalisation of RM196.4 million, the largest issuer on the Platform. An issue of this size could not have carried the fixed cost of a conventional bond issuance, in which rating, trustee, legal, Shariah advisory, registry, settlement and underwriting fees are incurred at broadly the same magnitude whether a company raises RM5 million or RM50 million. The Platform exists to compress that cost base, and this document should be read as the product of that compression.

What the Platform does

The Platform structured this offering, prepared this document with the Issuer, conducted the credit review summarised in Section 6, set the indicative pricing range in consultation with the Anchor Investor, and distributes the sukuk to retail investors. It maintains the register of holders and pays the periodic distributions.

What the Platform does not do

The Platform does not issue or hold the sukuk. Token issuance and custody are performed by Sentinel Digital Custody Sdn Bhd, a Digital Asset Custodian registered with the Securities Commission Malaysia. The Platform has no ability to move, encumber or apply an investor's holding, and an investor's entitlement does not form part of the assets of the Platform.

The Platform does not underwrite this offering. It has given no commitment to subscribe for any portion not taken up, and holds none of the sukuk on its own account. Section 5.5 sets out what happens if the offering does not reach its minimum.

The Platform does not operate an exchange or an order book, and does not match buyers with sellers. Section 9.5 describes the only exit mechanism available at launch.

The Platform is not an adviser to investors. It is remunerated by the Issuer as set out in Section 5.2, and it charges investors a transaction fee on purchases and sales. Its remuneration therefore rises with both the size of the offering and the volume of investor activity. Investors should weigh this when reading any material prepared by the Platform, including the automated explanatory tools available on it, which are provided for convenience, are grounded in this document, and do not constitute advice or a recommendation.

The Platform does not guarantee the obligations of the Issuer. On a default, the recourse of investors is to the Issuer through the Trustee, as set out in Section 4.9, and not to the Platform.

9.2 Parties independent of the Issuer and the Platform

The following functions are performed by parties independent of both the Issuer and the Platform, and their independence is the substance of the protection they provide:

- the Digital Asset Custodian, which issues and safekeeps the holdings and maintains records independently of the Platform;
- the Trustee, which holds the benefit of the covenants for investors, monitors compliance, convenes meetings of holders and enforces on their instruction. It is remunerated by the Issuer but owes its duties to holders;
- the Auditor, which audited the financial statements from which Section 6 is drawn;
- the Solicitors, who advised on the Transaction Documents; and
- where applicable, the Rating Agency, the Shariah Adviser and the Independent Valuer.

Neither the Issuer nor the Platform may remove or replace the Trustee or the Digital Asset Custodian without the consent of holders by extraordinary resolution.

9.3 Fractional holding

Investors hold fractional interests recorded by the Digital Asset Custodian and reflected in the register maintained by the Platform. A fractional interest carries the same economic entitlement, proportionate to its size, as a whole unit of nominal value, and the same right to vote at meetings of holders. It is not a separate class and is not subordinated.

9.4 The Anchor Investor and allocation of this issue

This issue is not distributed wholly to retail investors. It is allocated as follows:

Allocation	Nominal value	Proportion
Anchor Investor	RM10,500,000	70.0%
Retail investors through the Platform	RM4,500,000	30.0%
Total	RM15,000,000	100.0%

The Anchor Investor for this issue is Meridian Credit Opportunities Fund I, a professional credit fund. Investors should understand why this structure exists and what it does and does not do for them.

What the Anchor Investor provides

Gerak Logistik Bhd | Sukuk Murabahah | RM15,000,000 | A2 | Originated on Tokenkan

It provides credit validation that an unproven platform cannot supply about itself. The Anchor Investor conducted its own credit

assessment of the Issuer, independently of the Platform, and committed to its allocation on the basis of that assessment. A professional credit investor taking 70.0% of the issue at the same price and on the same terms as retail investors is a meaningful signal, and it is the principal comfort available to a retail subscriber to a small unlisted issue of this kind.

It also provides the standing bid described in Section 9.5, which is the only route by which a retail investor can exit before maturity.

What it does not provide

The Anchor Investor does not guarantee the obligations of the Issuer and has no liability to retail investors if the Issuer defaults. It ranks equally with retail holders, not behind them, so it bears loss alongside them rather than ahead of them.

It is not an underwriter. It has committed to its own allocation only, and will not absorb any part of the retail tranche which is not taken up.

Investors should also note that the Anchor Investor participated in setting the pricing of this issue. Its interest in obtaining a higher return is not aligned with the interest of a retail subscriber, although both pay the same price for the same instrument.

9.5 The standing bid, and its limits

The Anchor Investor has undertaken to the Trustee to maintain a standing bid for sukuk held by retail investors, at a price determined by the formula published on the Platform and set out in the Standing Bid Agreement, which is available for inspection under Section 10.3.

The formula prices the sukuk by discounting the remaining scheduled payments at a reference yield, being the yield on Malaysian Government Securities of comparable remaining tenure plus the credit spread at which this issue was priced, and then applying a discount of 1.00 per cent. to reflect the cost of the Anchor Investor providing the facility. The formula is mechanical and is not a negotiation.

Investors should be clear about four limitations:

- **The price is not the nominal value.** Because the formula responds to prevailing yields, an investor selling into the standing bid when yields have risen will receive less than RM100 per RM100 of nominal value, and in adverse conditions materially less. The discount of 1.00 per cent. applies in every case, including when yields have not moved.
- **The bid is capped.** The Anchor Investor is obliged to purchase not more than RM225,000 of nominal value in aggregate in any calendar month. If retail investors seek to sell more than that in a month, requests are met in the order received and the balance carries to the following month.
- **The bid may be suspended.** The undertaking is suspended while an event of default is continuing, during the fifteen business days before and after a periodic payment date, and where the Anchor Investor is prevented from dealing by applicable law. Investors should note that the first of these means the standing bid is least likely to be available at precisely the moment they most want to sell.
- **The bid terminates.** The undertaking ends if the Anchor Investor ceases to hold at least half of its original allocation, on its insolvency, or at the maturity date. If it terminates before maturity, investors have no exit mechanism at all until Recognized Market Operator registration is obtained, and there is no assurance as to when that will occur.

The Trustee monitors compliance with the Standing Bid Agreement and reports on it in the periodic reporting published through the Platform.

9.6 Position limits

The Platform applies limits on the exposure a retail investor may take to any single issuer, in order to prevent a concentrated loss on a single small credit. An investor may not hold more than RM30,000 in nominal value of the sukuk of any one issuer, nor more than twenty-five per cent. of the aggregate value of their holdings across the Platform in any one issuer.

Investors should treat these limits as a floor on prudence rather than a substitute for it. The limits are set by the Platform and may be varied. They do not imply that an investment at the limit is suitable.

9.7 What happens if the Platform ceases to operate

The entitlements of investors do not depend on the continued operation of the Platform. Holdings are issued and safekept by the Digital Asset Custodian, which is registered with the Securities Commission Malaysia and subject to its own regulatory obligations, and the register is replicated daily to the Trustee.

If the Platform ceases to operate, the Trustee is empowered under the Trust Deed to appoint a replacement registrar and paying agent, and the obligations of the Issuer to holders are unaffected. Investors should nonetheless expect the practical consequences to include the suspension of the standing bid facility, since it is administered through the Platform, and a period during which distributions may be delayed while arrangements are transferred.

10. CORPORATE DIRECTORY AND STATUTORY INFORMATION

10.1 The Issuer

Registered name	Gerak Logistik Bhd
Registration number	Registration No. 200301018742 (614295-H)
Registered office	Level 8, Menara Gerak, Jalan Kemajuan, 46200 Petaling Jaya, Selangor, Malaysia
Business address	Gudang Sejuk Gerak, Jalan Perindustrian Bukit Raja, 41050 Klang, Selangor, Malaysia
Date and place of incorporation	Incorporated in Malaysia on 6 June 2003 as a private limited company, converted to a public company on 12 February 2010 and listed on the Main Market of Bursa Malaysia on 24 September 2010
Financial year end	31 December
Company secretary	Tan Yoke Lin (MAICSA 7026734)

10.2 Advisers and transaction parties

Originating Platform	Tokenkan Capital Sdn Bhd (Registration No. 202301009284 (1502773-D))
Registrar and Paying Agent	Tokenkan Capital Sdn Bhd
Digital Asset Custodian	Sentinel Digital Custody Sdn Bhd, registered with the Securities Commission Malaysia
Trustee	Amanah Wilayah Trustee Berhad
Shariah Adviser	Ibnu Hakim Shariah Advisory Sdn Bhd
Rating Agency	RAM Rating Services Berhad
Auditor	Sim Abdullah & Associates PLT
Solicitors	Krishnan Yeoh & Partners
Anchor Investor	Meridian Credit Opportunities Fund I, a professional credit fund managed by Meridian Capital Partners Sdn Bhd
Auditors	Sim Abdullah & Associates PLT (AF 1382)
Solicitors	Krishnan Yeoh & Partners
Rating agency	RAM Rating Services Berhad

10.3 Documents available for inspection

For so long as any Sukuk remain outstanding, copies of the following documents may be inspected at the registered office of the Issuer during normal business hours on any business day:

- the constitution of the Issuer;
- the audited consolidated financial statements of the Issuer for the three financial years covered by Section 6, together with the reports of the auditors thereon;
- the Trust Deed and the other Transaction Documents;
- the rating letter issued by RAM Rating Services Berhad in respect of the Sukuk;
- the pronouncement of the Shariah Adviser in respect of the structure of the Sukuk; and
- the material contracts referred to in this document.

10.4 Responsibility statement

The Directors of the Issuer have seen and approved this document. They collectively and individually accept full responsibility for the accuracy of the information contained in it, and confirm that, having made all reasonable enquiries, and to the best of their knowledge and belief, there are no other facts the omission of which would make any statement in this document misleading.

10.5 Consents

The Trustee, Amanah Wilayah Trustee Berhad, the auditors, Sim Abdullah & Associates PLT (AF 1382), and the solicitors, Krishnan Yeoh & Partners, the rating agency, RAM Rating Services Berhad, Ibnu Hakim Shariah Advisory Sdn Bhd, as Shariah Adviser, have each given and have not withdrawn their written consent to the inclusion in this document of their names and, where applicable, of their reports and opinions in the form and context in which they appear. Tokenkan Capital Sdn Bhd has given and has not withdrawn its written consent to the inclusion of its name as Originating Platform, Registrar and Paying Agent, and Sentinel Digital Custody Sdn Bhd, registered with the Securities Commission Malaysia has given and has not withdrawn its written consent to the inclusion of its name as Digital Asset Custodian.